SPECIAL ISSUES ON VALUATION (2/3)

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20127 Course on Corporate Finance (Business Valuation), MSc in Finance, Bocconi University

Sustainable finance and enterprise value

Module structure

1 The transition towards sustainable finance

2 The shift from shareholder to stakeholder capitalism

3 Sustainable finance and value

Towards sustainable finance

- Traditional economic models developed when natural resources appeared abundant and carbon emissions were limited.

- Those models often ignored the pricing of many externalities (in terms of impact of corporate decisions on resources and environmental conditions), focusing mainly on capital and labour. Labour was also structurally underpaid in many contexts, and child labour was often exploited.

- The transition seeks sustainable economic, social and environmental development that preserves food, water, healthcare and energy resources for future generations without overstressing the Earth system.

Sustainable finance directs capital towards the investments required by this transition.

Why corporate finance becomes involved

Traditional shareholder-value finance relies on two assumptions:

1. Companies have no comparative advantage in socially responsible decisions, so shareholders should make those choices.

2. Governments can control corporate externalities through effective regulation and taxation.

When either assumption fails, corporate finance can allocate capital to sustainable firms and projects and accelerate the shift towards a low-carbon, more circular economy.

The shift to stakeholder capitalism

Boards and CEOs

Embed sustainability in business models and governance while preserving accountability and balancing stakeholder interests.

Financial institutions

Banks, insurers, public and private investors, and ESG and credit-rating agencies integrate sustainability into capital allocation.

Regulators

Sustainability-reporting requirements broaden ESG information and the population of companies expected to report it.

The competitive risk of being unprepared for the transition can be substantial for both companies and financial institutions.

What determines the speed of the transition

Financing innovation	Green, social, sustainable and sustainability-linked bonds and loans, together with ESG risk-management instruments.
Integrated analysis	Traditional credit and equity analysis combined with ESG analysis and ratings.
Integrated reporting	Financial and ESG performance, material KPIs, management incentives, stakeholder communication, and reliable comparable data.
Regulation and engagement	Reporting requirements and investor engagement reinforce market discipline.

Effectiveness depends on credible data and on identifying the ESG dimensions that are material in each business context.

Sustainability and enterprise value

Equity value = enterprise value − net financial debt

OPERATING CASH FLOW

- EBITDA and operating costs
- Working-capital movements
- Investment and divestment

COST OF CAPITAL

- Risk-free rate and credit spread
- Unlevered and levered beta
- Equity risk premium and leverage

NET FINANCIAL DEBT

- Funding needs and liquidity
- Debt pricing and refinancing
- Cash generated by ESG initiatives

Empirical evidence often associates high ESG ratings with lower risk, but valuation still requires a causal analysis of cash flows and the cost of capital.